Nor is it fair to judge a fund for a single year's performance. But if after three to five years or so you find that you'd be just as well off if you'd invested in the S&P 500, then either buy the S&P 500 or look for a managed equity fund with a better record. For all the time and effort it takes to choose individual stocks, there ought to be some extra gain from it.

Given all these convenient alternatives, to be able to say that picking your own stocks is worth the effort, you ought to be getting a 12–15 percent return, compounded over time. That's after all the costs and commissions have been subtracted, and all dividends and other bonuses have been added.

Here's another place where the person who holds on to stocks is far ahead of the person who frequently trades in and out. It costs the small investor a lot of money to trade in and out. Trading is cheaper than it used to be, thanks to the discount commissions and also to a modification in the so-called odd-lot surcharge—the extra fee tacked on to transactions of less than 100 shares. (Now if you put in your odd-lot order before the market opens, your shares are pooled with those of other odd-lotters and you all avoid the surcharge.) Even so, it still costs between one and two percent for Houndstooth to buy or sell a stock.

So if Houndstooth turns over the portfolio once a year, he's lost as much as four percent to commissions. This means he's four percent in the hole before he starts. So to get his 12–15 percent after expenses, he's going to have to make 16–19 percent from picking stocks. And the more he trades, the harder it's going to be to outperform the index funds or any other funds. (The newer "families" of funds may charge you a 3–8½ percent fee to join, but that's the end of it, and from then on you can switch from stocks to bonds to money-market funds and back again without ever paying another commission.)

All these pitfalls notwithstanding, the individual investor who manages to make, say, 15 percent over ten years when the market average is 10 percent has done himself a considerable favor. If he started with $10,000, a 15 percent return will bring a $40,455 result, and a 10 percent return only $25,937.

HOW MANY STOCKS IS TOO MANY?

How do you design a portfolio to get that 12–15 percent return? How many stocks should you own? Right away I can tell you this: Don't own 1,400 stocks if you can help it, but that's my problem and not yours. You don't have to worry about the 5-percent rule and the 10-percent rule and the $9 billion to manage.

There's a long-standing debate between two factions of investment advisors, with the Gerald Loeb faction declaring, "Put all your eggs in one basket," and the Andrew Tobias faction retorting, "Don't put all your eggs in one basket. It may have a hole in it."